University of Bozen-Bolzano
Bachelor's Degree in Informatics and Management of Digital Business

Economics of Digital Markets

Problem set #1

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Instructor: Nicola Campigotto

For each of the four games represented below, identify each player's best responses and the game's Nash equilibria. The payoffs in each cell list Player 1's payoff first and Player 2's payoff second. For example, '1, −1' means that Player 1 receives a payoff of 1 and Player 2 receives a payoff of −1.

		Player 2	
		H	T
Player 1	H	1, −1	−1, 1
	T	−1, 1	1, −1

Game 1: *Matching Pennies*

		Player 2	
		S	H
Player 1	S	5, 5	0, 3
	H	3, 0	3, 3

Game 2: *Stag Hunt*

		Player 2	
		H	D
Player 1	H	−2, −2	4, 0
	D	0, 4	2, 2

Game 3: *Hawk-Dove*

		Player 2		
		H	D	B
Player 1	H	−2, −2	4, 0	1, −1
	D	0, 4	2, 2	1, 3
	B	−1, 1	3, 1	2, 2

Game 4: *Hawk-Dove-Bourgeois*